

Investment Credit Memorandum

Millfield CLO 2024-2 | Millfield Yarns LLC | 4 March 2024

1. Recommendation

Credit committee is asked to approve a \$6,400,000 allocation of the Millfield Yarns LLC first-lien term loan into the Millfield CLO 2024-2 warehouse, and to roll that position into the CLO at closing. The borrower is Millfield Yarns LLC, headquartered in Charlotte. The financial sponsor is Pioneer Packaging Partners. Analyst: Leah Brooks. Committee chair: Peter Groves. Portfolio manager: Sofia Almeida, Dunhill Credit Partners LP.

Recommendation: Approve at a maximum par of \$6,400,000 (1.60% of the \$400,000,000 target CLO portfolio). The name sits inside the 2.0% single obligor concentration limit in the Millfield CLO 2024-2 indenture. Moody's corporate family rating is B1. S&P issuer credit rating is B+. The loan is US dollar denominated and is eligible collateral under the term sheet dated 12 March 2024.

2. Borrower and sponsor

Millfield Yarns LLC operates in Consumer. The company is owned by Pioneer Packaging Partners. Neither the sponsor nor the borrower is affiliated with Dunhill Credit Partners LP.

Related book names in Millfield CLO 2024-2 include Piedmont Power Co., Carolina Petcare, Inc.. Those names are separate obligors and should not be aggregated for the single obligor test.

3. Facility terms

Instrument: Millfield Yarns LLC first-lien term loan. Spread: SOFR + 3.75% with a 0.75% floor. The credit agreement is covenant-lite. Hudson Warehouse Bank is the warehouse lender to Millfield CLO 2024-2.

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4. Credit highlights and risks

Highlights: sponsor support from Pioneer Packaging Partners, first-lien or unitranche collateral, and an allocation inside the 2.0% obligor cap.

Risks: sector cyclicalities in Consumer and add-on acquisition risk. Leah Brooks confirmed that Moody's industry classification for Millfield Yarns LLC is 'Consumer'.

5. CLO fit and covenants

The allocation complies with the Class A/B Overcollateralization Test methodology because the loan is par-eligible and rated B1. It uses 1.60 of the 2.00 percentage-point largest-obligor covenant. Sofia Almeida confirmed the trade for Millfield CLO 2024-2.

If Millfield Yarns LLC is downgraded to Caa1, the position would count toward the 7.5% Caa bucket in the Millfield CLO 2024-2 indenture. Harbor Trust Company, N.A. would reflect that classification on the next monthly trustee report. Dunhill Credit Partners LP would then evaluate a sale during the reinvestment period.

6. Committee decision

Credit committee of Dunhill Credit Partners LP approved the \$6,400,000 purchase for the Millfield CLO 2024-2 warehouse on 4 March 2024. Voting members: Peter Groves (chair), Sofia Almeida, and Leah Brooks. The trade will settle into the Hudson Warehouse Bank warehouse and be conveyed to Millfield CLO 2024-2, Ltd. on the closing date of 28 March 2024.